Funding Shock Stress Test: Communities In Schools of Chicago

Independent analysis of public IRS Form 990 data, FY2021-FY2025, with a FY2026-FY2028 forecast

Bottom line. CIS of Chicago's recurring revenue no longer covers its costs: the base budget ran a **$1.1M deficit in FY2025**, and with expenses growing faster than recurring revenue the gap widens to **$2.2M by FY2028**. Unrestricted reserves cover **9.5 months** of expenses today but fall to **4.4 months by FY2028** even if a new $5M gift arrives on schedule, and **below the 3-month floor** if it does not.

Key findings

- **Revenue depends on large, irregular gifts.** Contributions are about 89% of revenue. Total revenue went from $4.4M (FY2021) to $11.1M (FY2023) and back to $7.0M (FY2025), while expenses rose every year, from $5.3M to $8.1M (about 11% a year). Revenue is roughly 1.7x as volatile as expenses.
- **The cushion is thinner than it looks.** Net assets of $12.9M equal 19 months of expenses on paper, but half ($6.5M) is restricted by donors, and $6.4M of assets are pledges not yet received in cash. The freely spendable reserve covers 9.5 months, down from 15.1 months in FY2022.
- **Efficiency is below sector guidelines.** Program services were 69-72% of spending in FY2022-FY2025 (guideline: 75%+). Fundraising is 16-17% of spending, and the cost to raise $1 of contributions rose from $0.10 (FY2023) to $0.22 (FY2025).

Stress test: unrestricted runway at end of FY2028

Scenario	What changes	Reserves	Runway	Below 3-month floor
Base	Assumptions below; next $5M gift in FY2027	$3.5M	4.4 mo	No
No major gift	No new large gift	$1.0M	1.2 mo	FY2028
Government cut	Government grants fall 50%	$2.0M	2.5 mo	FY2028
Cost discipline	Expenses grow 3% instead of 6%	$5.0M	6.9 mo	No
Combined shock	No gift and government cut	($0.5M)	Runs out	FY2027

Break-even: holding its position requires a gift of about **$7.2M every 4 years**, 44% more than the ~$5M it has historically received. Balancing FY2026 without one-time gifts would take 20% more recurring revenue.

Recommendations

- **Slow cost growth to about 3% a year.** It is the one lever fully in management's control. It keeps runway near 7 months and lowers the break-even gift to $5.1M, in line with what CIS has raised before.
- **Grow recurring, unrestricted revenue.** Seek multi-year unrestricted commitments, expand school service contracts (flat at about $560k for five years), and bring the cost to raise $1 back toward $0.10.
- **Adopt a reserve policy and plan for funding shocks.** Set a 6-month unrestricted reserve target with a trigger (for example, pause net new hiring if runway drops below 6 months), and treat government grants ($989k, up from $43k in FY2022) as at-risk funding in the budget.

Assumptions and limits

Source: CIS of Chicago Form 990s, FY2021-FY2025 (fiscal years end June 30); FY2025 is the latest filed. Base case: non-government giving +3% a year, government grants and school contracts flat, expenses +6% a year, a $5M gift every 4 years spread over 4 years. Existing restricted net assets are not released into the forecast, so runway is conservative. Independent portfolio project, not affiliated with CIS of Chicago; not financial advice.